

Comments, Criticism, and Debate

From Growth to Collapse: Portugal, Brazil, and the Breakdown of the Old Colonial System (1760–1830)

Jorge M. Pedreira

The breakdown of the Portuguese-Brazilian empire has been a topic of controversy for a long time. The dispute has converged on matters of fact as much as on matters of interpretation. Historians on both shores of the Atlantic have failed to present a common perspective on basic issues, such as the nature and scope of the growth that preceded the collapse, or the timing, duration, and intensity of the crisis itself. Thus a variety of explanations have been offered for this major turning point, as scholars tried to analyze the consequences of the collapse of the old colonial system.

However, beyond the controversy, the crucial significance of this period for the now diverging history of the two countries must be universally admitted. For Brazil, of course, this was the time of the birth of the nation, when crucial choices were made and many possible lines of historical development were discarded. Similarly, for Portugal this turn of events was very important. It meant that for the first time in nearly four hundred years the country had to sustain itself without an empire. The remaining colonies, that is, the trading posts and fortresses in Africa and in Asia, had virtually no economic or financial relevance. For almost a century the empire, or what remained, played a minor role in the Portuguese economy and, wishful expectations to the contrary notwithstanding, could not compensate for the loss of the vast American colony. As a result, Portuguese society had to undergo fundamental socioeconomic adjustments to accommodate this historical development.

The climacteric nature of this historical process is unquestionably related to the contentious character of the interpretations it has elicited. Bearing this in mind, this essay presents the facts and reviews the main topics of this historiographical controversy. As an active participant in the controversial debates on this topic, I will refrain from restating my former arguments, although this

Hispanic American Historical Review 80:4
Copyright 2000 by Duke University Press

certainly is an excellent opportunity to make them accessible to an English-speaking audience. My aim is to offer a fresher analysis of the available evidence, with the assistance of the most recent research, and thus extend our knowledge of this critical period in the history of Portugal, Brazil, and the Atlantic world.

From Crisis to Prosperity

For the Portuguese empire, the beginning of the second half of eighteenth century spelled disaster. In 1755 a tremendous earthquake and the ensuing fire destroyed the best part of the city of Lisbon as well as the cargo of the fleet from Brazil, which was stored in the customs warehouses. The damages were huge and they had scarcely begun to be assimilated when a second blow caused another shock. Gold remittances from Brazil, which had been for some decades the most important financial resource in the empire and had become the major driving force behind its integration into the Atlantic economy, began faltering. The decline, which could already be felt in 1760, became very serious after 1766.¹ This problem led to significant financial strains in the mother country and caused an inadequate supply of hard currency that was required to settle international payments, a difficult task for a country with a chronic trade deficit. Consequently, the government of the marquis of Pombal hastened the economic reforms it had already initiated in the previous decade.

The government aimed first at the reorganization of both the colonial trade and the main export sector in the metropolitan economy. It specially regulated the sugar and tobacco trade (1756) and created three monopolistic companies, two of which were granted exclusive rights over shipping and trade with specific regions of Brazil while the third was entrusted with the control over the marketing of Port wine. Pombal tried to secure a tighter control over long-distance trade (although the fleet system to Brazil was abolished), which he wished to see concentrated in the hands of a smaller mercantile elite (presumably more adept at competing with the foreign merchants). The main purpose of this program was to cutback the large deficits of the balance of trade. To this effect, he later encouraged import-substitution, and devised an ambi-

1. Jorge Borges de Macedo, *Problemas de história da indústria portuguesa no século XVIII* (Lisbon: AIP, 1963), 187; Virgílio Noya Pinto, *O ouro brasileiro e o comércio Anglo-Português: Uma contribuição aos estudos da economia atlântica no século XVIII*, 2d ed. (São Paulo: Companhia Ed. Nacional, 1979), 322; and Kenneth Maxwell, *Conflicts and Conspiracies: Brazil and Portugal, 1750–1808* (Cambridge: Cambridge Univ. Press, 1973), 253.

From Growth to Collapse

841

tious plan to promote manufacturing production, which was mainly implemented during the 1770s.

The strategy of Pombal has been accurately described by Kenneth Maxwell as the nationalization of the Portuguese economy.² The measures he adopted coupled with the decline in gold remittances from Brazil (and also of silver from La Plata, obtained through illicit trade) originated a different pattern for Portuguese foreign trade. Because of the legal and de facto privileges they enjoyed in Portugal, British merchants controlled the gold exports, an illicit or at best tolerated business activity.³ They even transferred the money surpluses for other foreign merchants, by discounting bills of exchange drawn on Lisbon for a commission of 2.5 percent.⁴ But in the new trading pattern, they lost the commanding role they had played for decades. The share that British shipping held in the movement of the two main ports of Portugal decreased after 1755 and especially since 1776. In Lisbon, it fell from 55 percent in 1769–1773 (and 60 percent in 1750–1755) to 19 percent in 1779–1783, and in Porto it dropped from 72 to 47 percent in the same period.⁵ Imports from England also diminished, and in 1781–1790 they were down to 60 percent of the former value. Finding themselves with much less business to do, British merchants in Lisbon and Porto strongly resented this change of climate, and they were backed by their government, which repeatedly pressed, albeit without much success, for the redress of this state of affairs.

Despite the energetic measures and the commitment of a strong government, the Portuguese-Brazilian economy could not immediately return to its former condition. The promotion of manufactures met with varying success, and the more balanced structure of foreign trade was achieved at the cost of the stagnation of the general commercial movement. Nevertheless, there are positive indications that the recovery of the Portuguese merchant economy was well under way in 1777, when Pombal, the great architect of the economic

2. Kenneth Maxwell, "Pombal and the Nationalization of the Luso-Brazilian Economy," *HAHR* 48 (1968).

3. Charles R. Boxer, "Brazil Gold and British Traders in the First Half of the Eighteenth Century," *HAHR* 49 (1969).

4. Jorge M. Pedreira, *Estrutura industrial e mercado colonial: Portugal e Brasil, 1780–1830* (Lisbon: DIFEL, 1994), 52; and Malachy Postlethwayt, *The Universal Dictionary of Trade and Commerce, 1755–1757*, 4th ed. (London: Strahan, Rivington & Hinton, 1774).

5. Macedo, *Problemas de história da indústria*, 194; and Virgínia Rau, *O movimento da barra do Douro durante o século XVIII: Uma interpretação* (Porto: Boletim Cultural da Câmara Municipal do Porto, 1958), table 2.

reforms and institutions (some of them would not survive him), was forced to resign and then banned from the court. In the significant decrease of the trade deficit, the part played by the rise of exports (which probably more than doubled between 1750–1755 and 1776–1777) was certainly more relevant than the reduction of imports (which were down by almost 25 percent in the same period).⁶ And then the turn of the tide was further helped by the outbreak of the War of American Independence, which changed the setting for the Atlantic economy, as other wars had previously done.

During the Seven Years War, for instance, the market for Brazilian sugar, which was still the most important commodity for the colonial economy, experienced a very favorable spell. In Bahia, for example, exports and trading profits increased by as much as 46 percent.⁷ However, the capacity for sugar production in Brazil had remained stationary for a long time. In 1761 the number of sugarmills in Pernambuco and Parahiba was not larger than it had been some 40 years earlier, and as much as 15 percent of these were idle at the time. In Bahia the circumstances were similar. The rise in labor costs, generated by the huge demand for slaves in the mining sector, the exhaustion of marginal soils and the strong competition coming from new areas of production in the West Indies accounted for this long stagnation.

In the 1770s there was some improvement, and shipments from Bahia showed a modest increase. The crisis in the mining sector eased off production conditions in the plantations, alleviating the pressure over the demand for slave labor, but marketing conditions had now absolutely changed. In 40 years, the share of Brazilian exports in the Atlantic sugar trade had dropped from about one-third to less than 10 percent.⁸ Until the 1790s there was a moderate progress, as the volume of sugar exports from Portugal grew by 3.6 percent between 1776–1777 and 1783 and by an additional 14.3 percent until 1789 (the increase is larger in terms of value, 10.8 and 17.3 percent respectively). But only after that did the resurgence of the sugar trade gather momentum, taking full advantage of the changes in the international market.

6. These are my own estimates based upon the available figures of the trade with England and France. See Sandro Sideri, *Trade and Power: Informal Colonialism in Anglo-Portuguese Relations* (Rotterdam: Rotterdam Univ. Press, 1970), table 1; Pinto, *O ouro brasileiro e o comércio*, 290–296; and Jean-François Labourdette, *La nation française à Lisbonne de 1669 à 1790: Entre colbertisme et libéralisme* (Paris: Gulbenkian Centre Cultural de Paris, 1988), 639–40.

7. Stuart B. Schwartz, “De ouro a algodão: A economia brasileira no século XVIII,” in *História da expansão portuguesa*, ed. Francisco Bethencourt and Kirti Chauduri (Lisbon: Círculo de Leitores, 1998), 3:91.

8. *Ibid.*, 94

From Growth to Collapse

843

The long-term effect of the progressive withdrawal from that market of the sugar produced in the British West Indies (drained, as it was, by the rising British domestic consumption) coupled with the sudden effect of the rebellion of 1792 in Haiti created very propitious trading conditions for Brazilian sugar. Between 1789 and 1796–1800, average exports from Portugal more than doubled in volume and, profiting from an exceptional rise in international prices, grew 3.5 times in value. This opportunity prompted a real extension of the production capacity in the colony. In Bahia, for instance, the number of sugarmills rose from 122 in 1759, to 260 in 1798.⁹ At the same time, an important change in the geography of sugar production took place. Besides Bahia and Pernambuco, the captaincy of Rio de Janeiro now became a significant source of exports.¹⁰

Sugar was not the only commodity in this drive for prosperity. The development of cotton exports was even more impressive since the company entrusted with the monopoly of trade in the regions of Pará and Maranhão promoted its cultivation in the 1760s. In 1776–1777, exports of Brazilian cotton from Portugal amounted to no more than 388 metric tons. Over the next decade, the growth was absolutely spectacular, as exports increased sevenfold, reaching 2,886 tons in 1789, and the expansion kept apace in the following years. In 1796–1800, exports attained a yearly average of 4,443 tons. In terms of value, the increase was equally impressive, from 173 million réis to 1.4 billion (almost reaching the same value of sugar exports) and then to 3.3 billion.¹¹ The rising demand generated by the early industrializing countries fueled this growth. In the last decade of the eighteenth century, as much as 30 percent of British cotton imports came from Brazil.¹²

Sugar and cotton formed the two most important Brazilian products reaching the European markets through Portuguese ports. These commodities made up 85 percent of the reexports of merchandise from Brazil in 1796–1800. The only other staples having a sizeable part in those shipments were hides (6.5 percent), tobacco (3.5 percent) and cocoa (3 percent). The expansion of the demand for tropical groceries and raw materials and the slackening competition among areas of production, manifest in the rise of international prices, animated the agricultural renaissance in Brazil, as Dauril Alden has termed the economic recovery in the agrarian sector.¹³

9. Ibid., 96

10. Dauril Alden, "Late Colonial Brazil, 1750–1808," in *Colonial Brazil*, ed. Leslie Bethell (Cambridge: Cambridge Univ. Press, 1987), 312.

11. Pedreira, *Estrutura industrial e mercado colonial*, 53, 267–68.

12. Schwartz, "De ouro a algodão," 95

13. Alden, "Late Colonial Brazil," 310–36.

Part of this development must be attributed to the growth of the Brazilian domestic market itself. New research has suitably stressed the expansion and dynamic of that market.¹⁴ The expanding production of rice (which also found its way to the export market) and wheat can be explained in the first place by the need to supply a rapidly increasing population. However, large areas of Brazil still functioned as a plantation complex, which was the foundation of the colonial system. The Portuguese merchant economy lived to a large extent on this system and on the carrying trade it made possible. Reexports of products from the empire (mainly from Brazil, but also manufactured merchandise, especially textiles from India and China) formed a nuclear factor in the integration of Portugal into the Atlantic and European systems of foreign trade.

Even though reexports comprised the bulk of shipments to Europe, domestic production also played a part in the newly found economic vitality. Until 1789 exports of wine, salt, wool, olive oil, and fruit grew at the same rate of reexports, in such a way that commodities from domestic origin regularly accounted for 44 percent of all foreign sales (the same ratio as in 1776–77). Once the real boom started in 1790s, they could not keep up with the growth of the market for colonial merchandise, and its share declined to 25 percent.¹⁵ However, there was another way in which the domestic production contributed to commercial development, namely, through overseas shipments of manufactured goods.

Actually, there were two sides to the Portuguese carrying trade. Besides the reexports of colonial (mostly Brazilian) products, merchants in Lisbon and also, but to a lesser extent, in Oporto forwarded commodities, such as food-stuffs (grain, codfish, butter, cheese) and manufactured goods (chiefly textiles) obtained from European countries to Brazil. In 1776–1777, despite Pombal's industrial policy, less than one-fourth of the shipments to the colonies consisted of articles of national manufacture. Portuguese yard goods formed only 30 percent of all textiles dispatched to the empire. National linens and silks already had an important share in the exports, but woolen and cotton fabrics came primarily from Britain and India.¹⁶

In the next 20 years, the exporting branches of the industrial sector made impressive progress. Government protection, initiated by Pombal, persisted,

14. João Luís Ribeiro Fragoso, *Homens de grossa aventura: Acumulação e hierarquia na praça mercantil do Rio de Janeiro, 1790–1830* (Rio de Janeiro: Ministério da Justiça, Arquivo Nacional, 1992), chaps. 2, 3.

15. Pedreira, *Estrutura industrial e mercado colonial*, 53–54.

16. *Ibid.*, 55.

From Growth to Collapse

845

although the state withdrew from its former role as an entrepreneur and decreased direct financial backing to industrial ventures. Exports to the empire were specially encouraged and the well-known law of 1785, which was designed to perfect the organization of the colonial system, expressly reserved manufacturing (sugar refining included) to the metropolis. As a result, several workshops in some Brazilian towns were shut down by the authorities. However, there was much more to the industrial development of the late-eighteenth-century Portugal than the reinforcement of the prevailing division of labor between the mother country and the colonies. Moreover growth was not confined to exporting branches and the colonies functioned as marginal markets to important sectors, such as tanning, ceramics and glass making.

Part of the industrial growth was unquestionably export-driven. Most important among manufactured commodities shipped to the colonies were linens and printed calicoes (which together provided a little less than 60 percent of the total in 1796–1806). In the rise of cotton printing, long distance transactions played a decisive role, as they supplied both the basic material (unbleached cotton cloth from India) and the main market (because 60 to 70 percent of the production was remitted to the colonies). This was an entirely new industry, which concentrated in some 50 large workshops and manufactories established around Lisbon. On the other hand, linen and lace manufacturing was a traditional, purely domestic, proto-industrial production; it was scattered throughout the northwestern districts and used both local and imported flax. In a rough estimate, linen exports to Brazil at the turn of the century were the equivalent to the yearly output of some 20 to 30 thousand handlooms, accounting for about 15 to 30 percent of the total production.¹⁷

Other trades also contributed to the industrial expansion. Silk and woolen manufactures, which combined domestic and centralized modes of production, supplied 17 percent of the industrial exports. For these sectors, however, the colonial market was not so important, even though between 1776–1777 and 1796–1806 overseas shipments of woolens grew tenfold. Additionally, large quantities of hats of both the finer and coarser kinds (the latter to be worn by slaves and workers), as well as metal wares, such as nails and farming tools, were exported to Brazil. These two sorts of products made up 8 and 4 percent of the transoceanic trading of national manufactured commodities, respectively.

The growth of the export of national industrial goods is one of the most distinctive features of the development of the Portuguese merchant economy in

17. *Ibid.*, 286.

the late eighteenth and early nineteenth centuries. It became one of the more dynamic branches of the foreign trade, expanding at a faster rate than gross exports and thus increasing to 35 percent its share in the shipments to Brazil. Cotton and woolen industries significantly enlarged their quotas in the colonial market. Nevertheless, this growth could not dislodge large reexports of foreign industrial stock to the colonies. In the trade with Brazil, merchandise of national manufacture became more important than goods from European origin, but when cotton and silk fabrics imported from Asia and forwarded to Brazil are brought into the picture, the part of national products comes down to 42.7 percent. However limited, this was a significant industrial spurt.

From Growth to Collapse

The prosperity of the Portuguese-Brazilian trade in the late eighteenth century is indisputable. The controversy focuses on the timing and the nature of this prosperity. In the early nineteenth century, imports from Brazil kept up at a very high level, reaching a maximum of 13.2 billion reis in 1806. At the same time, reexports of Brazilian goods grew from less than 10 billion reis in 1796 to more than 15 billions in 1801, and then displayed a strong stability, recording values of 13 to 14 billions (with a brief setback in 1803 when they are down to 11.8 billions). On the other hand, exports to Brazil rose to an exceptional peak of 15.7 billion in 1799 and remained firm between 9 and 10.6 billions up to 1804, before falling to 8.2 billions in 1806. Despite important fluctuations, the system of trade remained unchanged. The Portuguese balance of trade tended to show small surpluses or small deficits in the transactions with Brazil, which were usually more than compensated by the excess of exports over imports in the commercial relations with the foreign nations. Before 1807 there are no real signs of a coming crisis, although in this short period some sharp variations do occur, and most of the figures in 1805–1806 reveal some uncertainty (see table 1).

The scope of those variations discloses the unstable circumstances of the market, which explain—to a large extent—the prosperity itself. The succession of wars which followed the French Revolution offered very favorable conditions for the development of the Portuguese colonial trade. After taking part in the Roussillon campaign in 1791, Portugal strove to preserve neutrality in the face of very strong pressure exerted by both parties in contention. This, although expensive for the state finances (the government was forced to pay a costly indemnity to France to have the neutral status recognized), allowed Portugal to take full advantage of the crisis that disturbed other colonial

Table 1: Portugal's Brazil-Based Trade (1776–1831)

<i>Year</i>	<i>Reexports of Brazilian goods (in million réis)</i>	<i>Imports from Brazil (in million réis)</i>	<i>Exports to Brazil (in million réis)</i>	<i>Exports of Portuguese manufacturing goods to Brazil (in million réis)</i>
1776	[2661.2]*	2335.6	3455.3	921.8
1777	[2216.7]*	1916.0	2484.9	720.0
1783	[2716.9]*	n.a.	n.a.	n.a.
1789	[3558.8]*	n.a.	n.a.	n.a.
1796	9883.9	9687.1	6780.7	2549.4
1797	6789.4	4208.8	8460.5	2951.8
1798	8881.5	9607.8	10616.6	4225.6
1799	10205.5	10596.7	15758.8	5668.2
1800	14173.4	10106.5	9382.9	3897.2
1801	15092.9	12530.6	10633.5	4091.7
1802	14538.3	8739.1	9802.8	3667.7
1803	11831.1	10022.8	8914.6	2908.9
1804	13167.9	10365.6	10169.8	3457.0
1805	13893.1	13169.2	8700.8	2639.2
1806	14506.0	13213.7	8272.4	1974.1
1807	11434.5	12537.5	6620.5	1627.2
1808	4635.4	547.9	1409.0	222.8
1809	2061.2	4732.1	2970.9	987.6
1810	2961.7	3547.3	2508.4	893.0
1811	515.5	3344.5	2572.4	1220.8
1812	969.0	3668.3	2412.3	933.8
1813	913.3	4550.7	3565.1	1102.8
1814	8907.3	6767.3	4170.0	1253.4
1815	8621.4	8987.5	5354.8	1572.1
1816	8676.0	9652.9	6781.5	1880.5
1817	7944.2	8272.4	6023.7	1912.0
1818	7579.2	9627.9	6728.2	2432.2
1819	4469.1	7496.7	6233.6	1926.5
1820	5286.7	6756.6	5386.8	1555.6
1821	3707.0	6009.5	4732.1	1735.3
1822	3926.5	5916.4	3764.2	1295.0
1823	2277.1	3110.1	2966.7	1025.0
1824	2370.9	3097.5	2882.3	1073.6
1825	1625.1	2983.5	3532.1	1413.1
1826	1349.4	3983.7	3384.4	1091.2
1827	1872.6	4324.0	3251.7	960.1
1828	1348.4	3354.1	3063.2	928.4
1829	1028.3	2987.1	3538.8	1184.2
1830	2004.0	3624.7	3035.9	1155.7
1831	1433.0	2927.4	1425.6	437.0

* Numbers in brackets are estimates

Sources: Data for this table and charts in this article come from the *Balanças geraes do commercio de Portugal com os domínios e as nações estrangeiras* and *Balanças geraes do commercio de Portugal com o Brasil e dominios ultramarinos*.

empires. But the troubles of war, as much as they supported the growth of the Portuguese-Brazilian merchant economy, produced sudden changes in the course of trade, which sometimes had damaging effects. Under these circumstances, this growth proved to be uncertain.

The Portuguese system of trade operated on a very delicate balance. Thus the nature of the prosperity it experienced should be questioned. Was it merely the result of circumstantial or transient factors—the wars in the Euro-Atlantic world and the troubles they occasioned for other empires—or did it take root in more permanent conditions? Portuguese historians have not discussed this issue at length and although they expressed differing views this did not arouse a true debate on the matter. In Brazil, on the other hand, this question was the subject of a more manifest controversy, giving room to a wide range of interpretations. Some authors deny the expansion, or tend to restrict it to a particular region, namely Maranhão, where cotton was grown.¹⁸ There are also those who are ready to acknowledge no more than a “seeming prosperity,” generated by incidental factors.¹⁹ And those at last who argue for a substantial development, benefiting from of the structural change in the Atlantic economy, which was the joint effect of the demographic increase in Europe, the Industrial Revolution, the growth of long-distance trade (and the corresponding decline in shipping costs) and the coming of cotton as an industrial raw material.²⁰ José Jobson de Andrade Arruda has suggested the advent of an “actual euphoria,” as against a “false euphoria,” and he even postulates that, had the favorable conjuncture not materialized, the structural factors would still have produced an economic growth both in Portugal and Brazil.²¹

This last assertion, as every assertion of the same kind, cannot of course be substantiated. To be sure, the factors arising from the propitious circumstances of the late colonial period can be analytically distinguished from structural factors, but historically both types of factors can hardly be disentangled, and the structural conditions only operated inside a particular historical conjuncture. The growth of the Euro-Atlantic system may well be the outcome of

18. Roberto C. Simonsen, *História econômica do Brasil*, 6th ed. (São Paulo: Companhia Ed. Nacional, 1969), 187; and Nelson Werneck Sodré, *A formação histórica do Brasil*, 3d ed. (São Paulo: Ed. Brasiliense, 1964), 131.

19. Celso Furtado, *A formação econômica do Brasil*, 5th ed. (Rio de Janeiro: Fundo de Cultura, 1963), 112.

20. Cário Prado Júnior, *História econômica do Brasil*, 6th ed. (São Paulo: Ed. Brasiliense, 1961), 81.

21. José Jobson de Andrade Arruda, *O Brasil no comércio colonial* (São Paulo: Ed. Ática, 1980), 648.

From Growth to Collapse

849

the structural dynamic, but the share of the Portuguese-Brazilian complex in that growth was determined by the conjuncture; and it is impossible to even "guesstimate" what it would have been in the absence of the favorable events occurring in the political-military arena.

Nevertheless the prosperity, which is indisputable in the overseas trade, as much as it was dependent on those events, called for fundamental economic changes. The geography and composition of production shifted in both Brazil and Portugal. In Brazil, as previously noted, the cultivation of cane sugar spread in new areas, while cotton became a major staple for long-distance trade; and the agricultural renaissance touched other productions, both for the domestic and the export markets. In Portugal, the specialization of the merchant economy on the colonial trades became even stronger. The manufacturing activity expanded, with the advent of new industries (such as cotton printing) and the emergence of more concentrated modes of production. Easier access to imported raw materials and to the colonial market, which drained a much larger share of the manufacturing output, became the basis for a new pattern of industrial location, which invested the regions near the seacoast with a more prominent role. To be sure, this industrial development did not by any means bring the Portuguese economy to the verge of modern industrialization, in the road to which it should overcome many serious obstacles. However, there were significant structural changes and the commercial growth must not be underestimated. At the turn of the century, foreign trade per capita was larger in Portugal than in Spain, Italy, or Germany, and 5 to 7 percent of all European exports moved through the Portuguese ports.²²

The structural changes were in part to be reversed by the breakdown of the colonial system, which came in the form of a sudden collapse. The political-military setting, which had hitherto favored the carrying trade in the Portuguese empire, now moved against it, entailing the suspension of the colonial regime in 1808. The vulnerable position of the empire had already showed in the so-called War of the Oranges in 1801, when Spanish troops invaded Portugal, without any resistance. Had it not been for the general armistice, which was shortly signed in Amiens, and the terms of peace dictated by Spain would have been rather costly. Subsequently, the problems became even more acute. Once Napoleon put the continental system to use as his supreme weapon against Britain, the Portuguese-Brazilian empire was doomed. Portugal could

22. Werner Sombart, *Der moderne Kapitalismus*, 3 vols. (Munich: Duncker & Humbolt, 1927), 2:957; and Paul Bairoch, *Commerce extérieur et développement économique de l'Europe au XIXe siècle* (Paris: Mouton, 1976), 267.

not choose between British and French demands and could not resist them. Compliance to the continental system would bring about a maritime blockade and the occupation of at least some colonies by the British. Not to submit would mean war with France and ultimately the foreign rule. As Talleyrand himself said, the Portuguese were caught between two terrors. When the government finally yielded to Napoleon's terms, it was too late. The French troops invaded the country in 1807.

As the French armies entered the country, the royal family left hurriedly for Brazil, trusting British support to eventually regain possession of the kingdom. The consequences of this choice weighted heavily on the future relations between Portugal and Brazil. The decree proclaiming Brazilian ports open to the ships of all friendly nations was one of the first measures to be taken by the government on arriving in Brazil. This was envisioned as a temporary solution, forced upon the government by the circumstances, but, in fact, it put an end to the old colonial system.

During the next few years, struck first by the British blockade and then by the calamities of war, the Portuguese merchant economy collapsed. Destruction and turmoil hampered both industrial and agricultural production. Internal trade was almost paralyzed and large quantities of foodstuffs were imported from 1811 to 1815. Colonial trade virtually stopped in 1808 and did not revive until 1814. In 1808–1813, exports of national commodities to Brazil had declined to 22.4 percent of the value reached in 1796–1806, and the Portuguese carrying trade between Europe and Brazil suffered an even greater depression. Reexports of Brazilian goods to Europe sunk to 11.6 percent of the prewar yearly average and overseas shipments of European goods fell down to 10 percent of the former value.

From 1808 upto 1813, Portugal was almost entirely isolated. Trade with the Netherlands, Hamburg, Denmark, and France stopped altogether, and communication with Sweden, Russia, and Prussia was also sometimes interrupted. Throughout the war, Portugal depended heavily on British supplies, and Britain very nearly monopolized the foreign trade of Portugal and Brazil. Furthermore, the 1810 treaties had granted the British a commanding voice in Portuguese affairs. Trade was now regulated by an agreement that removed all restrictions on British commodities (especially cotton textiles) and levied a single 15 percent *ad valorem* duty on imports.

Under the new market conditions and trading regime, Portugal could no longer serve as the mandatory emporium for the transactions between Brazil and the foreign nations. Nevertheless, between 1814 and 1818 a significant recovery set in. Once again, exports of Portuguese commodities fared better

From Growth to Collapse

851

than the carrying trade. In 1818 the shipments of national industrial goods were just 10 percent off those of 1805 and were far larger than those of 1806. This was however an exceptionally good year for the manufacturing sector (on average, in 1815–1818, exports did not go beyond 56.5 percent of the values reached in 1796–1806). In fact, the more favorable results in the trade of national commodities must primarily be explained by the growth of wine (and especially Port wine) exports to Brazil, which almost doubled in volume and increased three-fold in terms of value. In the process of the adaptation to the new situation, a different pattern in the transactions with Brazil had emerged. The share of foodstuffs, which had formed a little over one-fourth of the exports of national merchandise to Brazil in 1796–1806, went up to 55 percent. Therefore, the commercial relations with the former colony tended to conform to the general pattern of the Portuguese foreign trade. This was the beginning of a very important change. However, at least in this period—after the end of the old colonial system and before the independence of Brazil—products of national manufacture still played a significant, though diminished, part in the overseas shipments.

Under the prevailing conditions, Portuguese shipping still enjoyed some advantages in long-distance navigation. War inflicted severe losses to some European fleets, which tended to be equipped with low tonnage ships, best suited for European trade.²³ Furthermore, non-British products still had to pay 30 percent tariffs in the Brazilian market. Accordingly, for some time, only Britain successfully disputed the Portuguese monopoly in the trade with Brazil. Such circumstances, however, could not allow for more than a temporary recovery. Since 1819, imports and exports to and from Brazil enter a new descent. This was the inescapable result of the postwar pattern of trade. Imports from Brazil kept up at 87 percent of the earlier values, while reexports of colonial merchandise did not go beyond 68 percent. At the beginning of the nineteenth century, trade between Portugal and Brazil was reasonably balanced. But after 1809, Portugal accumulated deficits that could no longer be offset by Brazilian goods shipped to European markets. The balance of trade turned adverse on both fronts: the small deficits (when they occurred) in the exchange with Brazil had grown almost five-fold, and the large surpluses in the transactions with the foreign nations had turned into significant deficits. The compression of Portuguese foreign trade was inevitable (see figure 1).

Portuguese merchants themselves were well aware of the importance of trading privileges in their relations with Brazil. Without the assistance of the

23. Macedo, *Problemas de história da indústria*, 236.

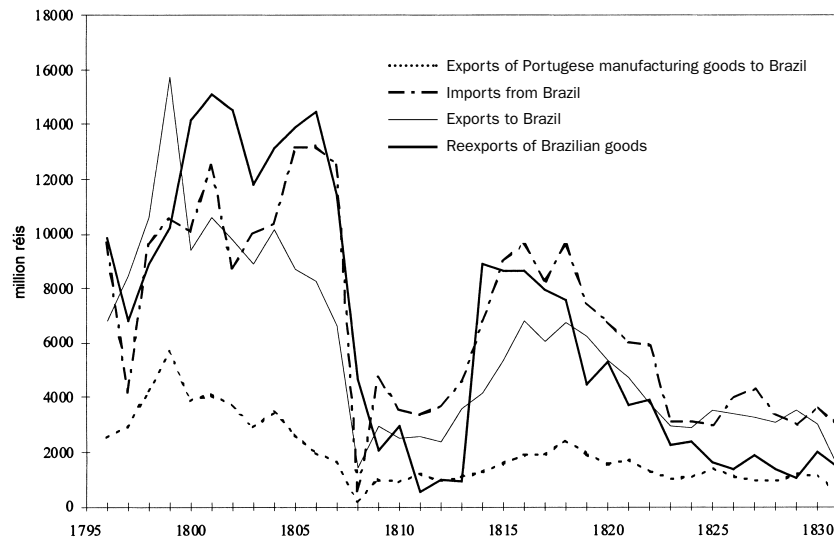


Figure 1. Portugal's Brazil-based Trade (1796-1831)

Source: Data from *Balanças geraes do commercio*; and Pedreira, *Estrutura Industrial*, 269.

colonial system, they found it increasingly difficult to fight foreign competition. Thus, they pressed the government, both before and after the liberal Revolution of 1820 (in which they performed a relevant role), to have a new commercial arrangement approved, under which they could reinstate their preeminence. This disposition, combined with the forced return of the king to Portugal and the unwillingness of some of the Portuguese revolutionaries to compromise, could not help but speed up the insurgence of Brazil and the declaration of independence in 1822.

The immediate economic effects of the independence were not very significant; it merely made the decline that had begun in 1819 even more severe. In the next few years, after Portugal acknowledged the sovereignty of Brazil in 1825, the alienation between the two countries proceeded. The failure to approve a commercial treaty (despite the fact that the general terms of an agreement had been settled in 1826 and again in 1836) consummated that alienation. In 1825-1830, as other European countries established direct and regular commercial relations with Brazil, reexports of colonial merchandise fell down to 17 percent of the prewar figures. Brazilian groceries and materials still enjoyed a dominant position in the Portuguese domestic market, but goods of Portuguese production shipped to Brazil amounted to no more than 50 percent of the earlier values (30 percent in the case of industrial exports, of

From Growth to Collapse

853

which Brazil still received almost 80 percent). Although de-industrialization was restricted to a small group of trades and regions (for instance, silk manufacture, both in Lisbon and in the northeast), the industrial production was hit hard by the loss of the Brazilian market. Opportunities for integration in the international markets were thwarted and Portugal was now confined to the role of a small exporter of primary products. The breakdown of the colonial system had a major impact on the Portuguese merchant economy and it prompted a major renovation in the business community.²⁴

The long-term consequences of this collapse for Portugal could be analyzed in the light of the model proposed by David Ricardo, precisely at the time when the events were taking place. When examining the sudden changes in the channels of trade and the effects of the shift between cycles of war and peace, Ricardo admitted that, in the face of quick variations and while the necessary adjustments to the new circumstances had not been made, a large part of the capital might be idle, or even lost, and full employment was a practical impossibility. This distress could be prolonged by the resistance offered by the capital owners to the transfer of their investments to new ventures and by the restrictions imposed by states and governments to the free flow of trade.²⁵ In view of the fact that many Portuguese merchants held on to their former undertakings and that most European countries adopted restrictive trading policies in the aftermath of the Congress of Vienna, it is hardly surprising that the economic problems arising from the breakdown of the colonial system took so long to be assimilated.

Definitions of Crisis and the Problem of Contraband

So far I have presented the disintegration of the Portuguese Atlantic empire in the form of a sudden collapse that interrupted a period of prosperity. However, this is not the unanimous perspective on the matter. Leading Brazilian historians have proposed an alternative view, suggesting that the downfall of the colonial system was the culmination of a protracted crisis, rather than an abrupt turn of events.

24. In 1827, the aggregate losses from the breakdown of the colonial system and the corresponding decline in trade with Brazil were the equivalent of 90 percent of public revenue and two-thirds of public expenditure (in constant prices). In a rough estimate, this could amount to 8 percent of the GDP. See Pedreira, *Estrutura industrial e mercado colonial*, 364–65.

25. David Ricardo, *The Principles of Political Economy and Taxation*, 3d ed. (London: John Murray, 1821), 309.

In his pathbreaking book on the subject, Fernando Novais postulated a definition of crisis as the result of a set of changes that tended to loosen the ties of subordination that bound colonies to the mother nations. In the economic sphere, these changes originated in the Industrial Revolution and in the consequent rise of a new industrial capitalism, which, with its inbred dynamic of expansion, entailed the breakdown of the colonial empires under their traditional merchant configuration. This meant that Portugal would eventually become redundant for Brazil and that the opening of the Brazilian ports to foreign shipping in 1808 was the epilogue rather than the beginning of the story. In the political arena, the American Revolution performed a similar dissolving function. In this sense, the crisis could perfectly run parallel to a cycle of expansion in colonial production and trade, such as the prosperity that the Portuguese colonial system enjoyed at the turn of the century, which Novais fully acknowledges.²⁶

The problem with this assertion, captivating as it may seem, is that it cannot be either refuted or substantiated, as the demonstration is virtually incorporated in the very definition of the crisis.²⁷ Since the breakdown of the old colonial system is anticipated as the inevitable consequence of major underlying movements and prominent events, irrespective of the actual course of historical developments, historical evidence becomes irrelevant, for it is unable to corroborate or to rebut the interpretation implicit in the definition of the crisis itself. The sole documentation that Novais submits in favor of this assumption is the possible increase of illegal trafficking in Brazil. But even this is offered as a conjecture, and he actually writes, "it is not too daring to suppose an extension of contraband in Brazilian shores."²⁸

Based on this suggestion and endorsing the recurrent complaints of the chief comptroller of the general superintendence on contraband (who was entrusted with keeping the ledgers of the balance of trade), José Jobson de Andrade Arruda presented illegal trade as a major indicator of the crisis in the colonial system, because it showed that Portugal could no longer supply the colony with the goods it needed. To substantiate this assertion, he tried to compute the value of illicit trafficking, assuming that the cumulative deficits collected by Portugal in the trade with Brazil could be the measure of that

26. Fernando A. Novais, *Portugal e Brasil na crise do antigo sistema colonial, 1777-1808*, 4th ed. (São Paulo: Hucitec, 1986), 13.

27. Valentim Alexandre, *Os sentidos do império: Questão nacional e questão colonial na crise do antigo regime português* (Porto: Ed. Afrontamento, 1993), 77-79.

28. Novais, *Portugal e Brasil na crise*, 178.

From Growth to Collapse

855

value. However, the deficits he used for this purpose were grossly overestimated by the addition of money and bullion transactions, which were in part meant to reimburse the exchange of goods.²⁹ Once adjusted, as they must be, the deficits are unimpressive (a mere 4.2 percent of the imports from Brazil in 1796–1806) and the cumulative balance only becomes negative for Portugal after 1806. Furthermore, this whole calculation seems a heroic exercise. To infer the volume of illegal trade from the disparities in legal trade is a far from self-evident procedure. It not only postulates a propensity for short-term balance in overseas trade (which cannot be confirmed even in the longer run), but it also presumes that contraband was confined to the unlicensed introduction of foreign goods in Brazil and that smugglers did not take anything in return for the merchandise they sold there.

For these reasons, Jobson Arruda's estimates, about which he is himself very cautious, cannot be endorsed. This is not to say that the problem of contraband must not be carefully examined, but the indignant protests of the chief comptroller, to which so much credence is given, must be taken cautiously. In fact, some of these complaints were directed against those forms of contraband that could harm national industrial exports and the Royal Treasury, but did not in the least harm the monopoly which Portugal held over the foreign trade of Brazil. From the perspective of the system of trade, the introduction of illicit goods in Brazil by Portuguese merchants, whom the comptroller strongly reproached for their lack of patriotism, as much as it could hurt the manufacturing sector, corresponded to the reexport of foreign goods. This and other ways of evading the payment of customs duties and other taxes could damage fiscal receipts and were a cause for concern in the administration, but had little to do with the crisis of the colonial system. Furthermore, as a crown official sitting in a department expressly created to fight off contraband, the comptroller was bound to overstate his case. It is not surprising that the pessimistic forecasts he has to offer and the grumbling about illicit trade ruining legal trade are sometimes contradicted by the very figures he puts together.

The preceding remarks are not meant to challenge the notion that there was an extension of illegal trade in the early nineteenth century. In his dissertation on the control over contraband in Rio de Janeiro, Ernst Pijning certainly suggests that there was, and backs his contention with stronger documentation than either Novais or Arruda had done. Ernst Pijning shows that in 1800–1807, the average number of foreign ships calling on the port of Rio de Janeiro (where they were allowed only when in need of water, food or repairs)

29. See Alexandre, *Os sentidos do império*, 51, 62–65.

reached 54, up from 25 in the previous decade (1791–1799). He also sustains that during this period the authorities lost the ability to control contraband and that the growing number of confiscations and prosecutions as compared with the 1770s and 1780s only displayed this impotence.³⁰

This assertion must be understood in the context of the more general argument that contraband was inherent in the colonial system and it was the object of negotiation between administration and traders. Illegal trafficking was either condoned or condemned, depending on the circumstances, such as the state of international affairs; the status, nationality and conduct of the offender; the sort of trafficked goods; the conspicuousness of the infraction; the determination, ability and interests of the authorities and customs officers. Throughout the eighteenth century, there were cycles in the attitude of the administration towards contraband: periods of easier regulation and tolerance giving way to decades of tighter control and persecution. In the late eighteenth and early nineteenth century, widespread smuggling pursuits put too much pressure on the authorities and made regulation virtually impossible. Therefore, officials resorted to confiscation and prosecution.³¹

This line of argument is of course debatable, and although the rise of illegal trade may be acknowledged, this acknowledgement must be made under strict qualifications. The admission of foreign ships in Brazilian ports may well be an indication of contraband, but it must be taken carefully as such. Not all ships were involved in smuggling. In times of war, which made navigation more hazardous, it was only natural that more vessels sought entry into the harbors of friendly or neutral territories. Furthermore, as Ernst Pijning himself remarks, a sizeable part of those vessels were South Sea whalers, which could only sustain lesser smuggling operations, sometimes performed by the crews on their own account, against the instructions of the ship owners and the official trade policy of Great Britain.³² Furthermore, this was no innovation, as complaints against this sort of scheme go back at least to the 1770s.³³

Other vessels entering the port of Rio were slaving ships, which tried to sell captives in Brazil. This left the role of Portugal in the colonial system

30. Ernst Pijning, "Controlling Contraband: Mentality, Economy and Society in Eighteenth-Century Rio de Janeiro" (Ph.D. diss., Johns Hopkins Univ., 1997), 81–91, 122–38.

31. Ibid.

32. Ibid., 127–28.

33. Novais, *Portugal e Brasil na crise*, 182–84; and Pijning, "Controlling Contraband," 127.

From Growth to Collapse

857

almost untouched, because Portuguese merchants had long lost the control over slave trade to Brazilian-based traders. Yet another set of ships came from the region of Rio de la Plata. Trafficking with Spanish America had long been an important means of obtaining silver bullion to be used in the East Indian trade. It was often encouraged by the government and conducted from the Colony of Sacramento until its restoration to the Spanish Monarchy in 1777. Now this business passed through the ports of Brazil, and although Portuguese authorities tried to stop the supply of slaves from those ports to Montevideo and Buenos Aires, this did not seriously affect the colonial system. Therefore there were many varieties of illegal traffic other than the one that posed a real threat to the monopoly the Portuguese merchants held over Brazilian trade; which was the direct communication between Brazil and the foreign countries (those in particular which were the major customers for tropical groceries and raw materials and the suppliers of the products of largest consumption in the Portuguese American colony).

On the other hand, the problem with inferring a rise in contraband from the frequency of apprehensions and prosecutions is that it does not take into account independent variations in the ability, the disposition and the determination of the administration to fight smuggling. In fact, the number of confiscations may be a function of that ability and determination, rather than of the regularity of the clandestine operations themselves.³⁴ And there is no doubt that the government was determined to curb contraband and to strengthen the colonial system. Evidence of this resolution can be found in the laws passed in 1785, banning manufacturing in Brazil and reinforcing the penalties and the jurisdiction of the viceroys against smuggling, and in 1772 and 1803 attacking direct trade between the East Indies and Angola or Brazil, respectively. Moreover, the greater risk of harassment or confiscation (and even when the restitution of an arrested ship was pronounced it could be

34. It should be noted that Ernst Pijning tends to concentrate on the number of ship confiscations as the indicator of the administration's ability to regulate illegal trade, arguing that the greater the number of confiscations, the more impotent the authorities. However, the statistics he offers for cases of prosecution for illegal trade in Rio de Janeiro tell a different story. After the peak reached in the 1730s, the number of cases increases in 1760–75 (when supposedly illegal trade was under control and regulated) and, after fifteen years of very low legal activity, rises again, although not as much, in 1790–1800. See Pijning, "Controlling Contraband," 230. This chronology is not consistent with Pijning's assertions based on the frequency of ship confiscations and he tends to interpret the decline in indictments exactly in the opposite way he sees the decrease in confiscations. *Ibid.*, 253.

decades before it took effect) must have worked as a deterrent. It restricted the economic advantage of illicit transactions, which the customary bribes paid to officials also compressed.

Moreover, British traders, who, under the prevailing circumstances, were the best suited to explore the opportunities of illegal trade (because they not only enjoyed competitive advantages in shipping and manufacturing but were also citizens of Portugal's leading ally), met with a significant handicap when trying to stretch their pursuits in Brazil. In fact, the British were not the best of customers for Brazilian merchandise. They had their own colonies in the Caribbean, which supplied them with similar commodities. Therefore, from 1796 to 1806 they only got about one-fifth of the Portuguese reexports of goods from Brazil, with a larger share in the case of cotton (50 percent on average), which formed the bulk of their imports (some 85 percent). This meant that, ultimately, British illegal trade to Brazil must have been a one-way traffic, which certainly raised shipping costs. The only way British merchants could circumvent this restriction was by buying more goods in Brazil than those needed for British domestic consumption and to perform a distributive function similar to the one the Portuguese delivered. This is exactly what happened after direct foreign trade was legalized in Brazil, when London became an emporium for Brazilian goods.³⁵ However, as much as they used the threat of contraband to put pressure on the Portuguese government and have it reverse the restrictive trading policies, that pattern of trade could have only emerged in the aftermath of the suspension of the colonial system.

The examination of the foreign trade of Brazil since the opening of the ports to foreign shipping may also shed some light on the problem of contraband in the late colonial period. In 1812 the combined exports of Portugal and Britain to Brazil were virtually equivalent to the average shipments from Portugal in the period before the opening of the Brazilian ports. In the next few years, until 1817, aggregate exports increased by virtue of the resumption of Portuguese trade. Under the Treaty of 1810, British merchants enjoyed very favorable conditions for trade in Brazil. They paid tariffs of 15 percent *ad valorem*, whereas foreign merchandise transported in Portuguese or Brazilian ships still paid 16 percent, even after they had been granted a deduction of one-third of the regular duties. Nevertheless, Brazilian imports from Britain remained fairly stagnant from 1812 to 1821 and although they fluctuated around a higher level (2.5 up from 2 million pounds) from 1823 to 1830, they

35. Eli F. Hecksher, *The Continental System: An Economic Interpretation* (Oxford: Clarendon Press, 1922), 243.

From Growth to Collapse

859

still did not display a consistent disposition for growth. Aside from exceptional peak years (1818, 1825 and 1828) they never matched the value of imports from Portugal before the suspension of the colonial system, and aggregate figures were usually just 15 to 20 percent up on that value.³⁶

Still the figures of British trade with Brazil are in part deceptive, because they represent the amounts declared at the departure from Britain and do not correspond to actual sales. British merchants grossly overestimated the South American markets. They dispatched their agents to the major ports, where they were willing to pay high rents for warehouses, pushing away the local merchants.³⁷ In 1806–1807 they endured heavy losses in their exports to Rio de la Plata, and in the following year the same happened in Brazil.³⁸ A part of the goods sent overseas was never paid for and the merchant houses active in the trade of Buenos Aires and Rio de Janeiro had to resort to auction sales to dispose of their merchandise, which they often sold at a loss.³⁹ The overestimation of the capacity of the Brazilian market also indicates that the British business community had not gained access to the relevant information that could allow it to accurately anticipate the capacity of the market, and that former clandestine connections were not so frequent or extensive as to provide that kind information.

Furthermore, the new associations could not immediately displace the strong ties conjoining merchants established in Portugal and Brazil. Traders in Rio de Janeiro and Salvador were no longer simple commissioners or factors, working for merchants in Lisbon and unable to conduct business on their own account, as the Viceroy, Marquis of Lavradio, still depicted them in 1779.⁴⁰ Beyond the exchange with Portugal, in which they had an increasing part, slave trade and the growth of domestic markets and communications provided

36. Pedreira, *Estrutura industrial e mercado colonial*, 241–342.

37. Susan Socolow, *The Merchants of Buenos Aires, 1778–1810: Family and Commerce* (Cambridge: Cambridge Univ. Press, 1978), 130.

38. François Crouzet, *L'économie britannique et le blocus continental, 1806–1813*, 2 vols. (Paris: PUF, 1958), 189; and Joel Mokyr and N. Eugene Savin, "Stagflation in Historical Perspective: The Napoleonic Wars Revisited," *Research in Economic History: An Annual Compilation of Research* 1 (1976): 227–28.

39. Alan K. Manchester, *British Preeminence in Brazil, Its Rise and Decline: A Study in European Expansion* (Chapel Hill: Univ. of North Carolina Press, 1933), 95–96; and S.D. Chapman, *The Rise of Merchant Banking* (London: Allen & Unwin, 1984), 10.

40. Visconde de Carnaxide, *O Brasil na administração pombalina* (São Paulo: Companhia Ed. Nacional, 1979), 244–45; and Dauril Alden, *Royal Government in Brazil, with Special Reference to the Administration of the Marquis of Lavradio, Viceroy, 1769–1779* (Berkeley: Univ. of California Press, 1968).

strong opportunities for local accumulation.⁴¹ However, many of these merchants—including the most prominent—were only recent emigrants to Brazil. They took part in networks of business agents and correspondents, in which kinship and marriage bonds played a significant role, supplying a base for the organization of trading associations and connections.⁴² This was the social fabric of which the colonial system was made. The opening of Brazilian ports and the forced interruption of trade with Portugal did not promptly tear it a part, and it would be surprising that loose clandestine connections could have done anything to actually jeopardize it.

Conclusion

The pattern of trade prevalent after the colonial regime had been discontinued suggests that the Brazilian market was not so large as to have sustained a massive overflow of contraband trade. It also shows that Brazil still needed some preparation before it could do without an European intermediary, a role that the Portuguese merchants played under colonial rule and which they in part lost to the British after the opening of the Brazilian ports. Therefore, the extension of contraband in the early nineteenth century can hardly be depicted as the inevitable consequence of the rise of industrial capitalism. The sudden upsurge in the number of foreign ships entering the port of Rio de Janeiro (still no more than 27 in 1798, but up to 70 two years later) clearly confirms that this was not the effect of a structural economic movement, but rather the consequence of the instability in Atlantic trade and shipping and possibly of a growing ineffectiveness of the administration, which was in part due to the international setting as well.

From the perspective of the elucidation of the crisis, the question, however, is not that illegal trade existed, or even that it was on a rising tide, but that it grew important enough as to displace the colonial system and change its basic workings. The fact is that contraband had always been there. In truth, it is impossible to assure that during the gold cycle contraband was more or less important than it was in the early nineteenth century. Then as well protests against smuggling were plentiful. Does that mean that the colonial system was

41. Fragoso, *Homens de grossa aventura*; and Manolo Florentino, *Em costas negras: Uma história do tráfico de escravos entre África e o Rio de Janeiro, séculos XVIII e XIX* (São Paulo: Companhia das Letras, 1997).

42. Jorge M. Pedreira, "Os homens de negócio da praça de Lisboa de Pombal ao Vintismo (1755–1822): Diferenciação, reprodução e identificação de um grupo social" (Ph.D. diss., Univ. Nova de Lisboa, 1995).

From Growth to Collapse

861

in crisis? Actually, contraband was congenial to the early modern imperial structures, built on monopolies and exclusive claims to trading routes and territories, which authorities could not strictly enforce. The basis for such trafficking was the superiority of some colonial powers vis-à-vis the others, and in the case of Portugal, the naval, industrial and military ascendancy of England, which was a long established fact, clearly antedating the Industrial Revolution.⁴³

On the other hand, the monopoly that Portugal held over the international and long distance trade of the colonies had always been far from complete, and the ability and determination towards its enforcement varied widely over time. Outsiders played a significant role in the building of the Portuguese empire. From the earlier tentative steps, merchants and sailors from Italy, Flanders, and Castile took part in Portuguese undertakings. The navigation and trade on the Cape route immediately invited the interest of the great merchant houses of the day. Italian and German syndicates were prominent in the outfitting of the fleets, the financial arrangements for the expeditions and the marketing of spices.⁴⁴ On the other hand, Flemings shipped a sizeable part of Brazilian sugar in the earlier stages of the trade. During the seventeenth century, either as a matter of necessity or as a matter of convenience, British and Dutch merchants and their ships were not infrequently admitted in the Portuguese fleets sailing to Brazil. Under the charter of the General Company for the trade with Brazil (1649–1662), four ships were allowed to sail each year from northern Europe directly to the colony, as a way of meeting the local demand for codfish. Furthermore, by means of the reexporting business, which greatly expanded since the later seventeenth century, other European powers secured a significant share on the returns from the Brazilian trade. Reflecting upon this topic, a prominent Portuguese scholar, Ribeiro Sanches, estimated in 1735 that this was after all an unwritten condition for those powers to tolerate Portuguese rule over Brazil.⁴⁵

Inter-colonial exchange was another way in which the monopoly of the mother country was circumvented. The East African trading posts had long

43. Allan Christelow, "Great Britain and the Trades from Cádiz and Lisbon to Spanish America and Brazil, 1759–1783," *HAHR* 27 (1947).

44. Jorge M. Pedreira, "'To Have or not to Have': The Economic Consequences of Empire: Portugal, 1415–1822," in *The Costs and Benefits of European Imperialism from the Conquest of Ceuta, 1415, to the Treaty of Lusaka, 1974*, ed. P. K. O'Brien and Leandro Prados (Madrid, 1998), 117–18.

45. José Vicente Serrão, "Pensamento econômico e política econômica no período pombalino: O caso de Ribeiro Sanches," *Ler História* 9 (1986): 10.

fallen into the orbit of the Indian commercial network. In the Atlantic, Portuguese merchants lost the control over slave trade to Brazilian and African-based slavers, who enjoyed more favorable economic conditions (namely the access to the by-products of sugar and tobacco cultivation, which were used to pay for captives in West Africa). The government did little to stop this, although the chartered companies formed under Pombal took an important share in this business. In the Gold Coast, where Bahian traders met the agents of foreign merchants, slave trade continued to provide a basis for contraband.⁴⁶ On the other hand, even though the authorities did not always condone the stopover at Bahia of ships returning from the East, traffic between India and Brazil (driven by the exchange of tobacco for calicoes to be used in slave trade) became very significant.

This discloses the pervious character of the Portuguese colonial system. Should contraband be a major indicator of the crisis, then it must be assumed that it operated permanently under a crisis. In fact, breaches were probably more conspicuous exactly when the government was acting harder to tighten the colonial regime. Admittedly the expansion of the late colonial period may have attracted more illegal trade. It is only natural that contraband be more active when trade is rising and that it takes a share in the prosperity. But how did this change the colonial system?

Arruda has defined the system by an in-built mechanism of exploitation, which was based on the monopoly price that Portugal could charge the foreign nations for goods from Brazil, at the expense of the Brazilian themselves. The surplus of reexport prices over import prices is supposed to be the measure of that exploitation, which deprived Brazilians of the profits of the export trade.⁴⁷ This notion is not consistent with the significance with which Arruda invests contraband. The system, as depicted by him, could not operate up against such contraband, because to be effective it required the monopoly on which it was based to be effective too. Had the monopoly not been in full force and the surplus price on reexports would have inevitably been trimmed by the rising competition. Instead there is no clear pattern indicating the decrease of such surplus (see figure 2). Either the smugglers paid the same prices as the Portuguese merchants for the Brazilian merchandise (and in this case smuggling presented no advantage to Brazil, meaning that there was no alternative to an exploitative

46. Maxwell, *Conflicts and Conspiracies*, 215; and Pijning, "Controlling Contraband," 244–45.

47. Arruda, *O Brasil no comércio colonial*, 351–604, 669–74; and Novais, *Portugal e Brasil na crise*, 289.

From Growth to Collapse

863



Figure 2. Percentage of Price Surplus of Reexports of Sugar, Cotton, Cocoa, Coffee, and Tobacco Over Imports of Brazilian Goods. The aggregate average is adjusted according to relative weight in total reexports.

system) or the volume of the illegal transactions was insufficient to change the price mechanisms. In any case, this confirms that the colonial system had not as yet been displaced, and that contraband continued to be assimilated by the system.

There is no evidence, then, of a protracted crisis, caused by either structural or circumstantial factors. Suddenly, when the tide turned, the same political and military circumstances that had greatly favored the remarkable growth of Portuguese overseas trade now originated the collapse of the colonial system. Brazil was immediately cut apart from Portugal and had to adapt to the new state of affairs. The presence of the court and king, with a large following (amongst which some merchants), the development of new institutions, and the setting up of a British trading community certainly helped that adaptation to come through. In the line of preparation (may a momentary teleological reasoning be allowed), the build up of a domestic economy and domestic trade, as portrayed by João Luís Ribeiro Fragoso, is certainly no less significant than the rise of contraband, which did not in any case seriously disrupt Portuguese-Brazilian trade.⁴⁸

48. See Pedreira, *Homens de grossa aventura*.

In conclusion, after a strong period of growth, collapse came by way of the sudden disintegration of the institutional framework under which the Portuguese merchant empire had long been working. Without that protective structure, in the presence of a government that was now primarily concerned with the development of Brazil, and facing Britain's unchallenged economic and military superiority, it was only a matter of time before Portuguese merchants completely surrendered any chances of reclaiming their former position in the overseas trade.